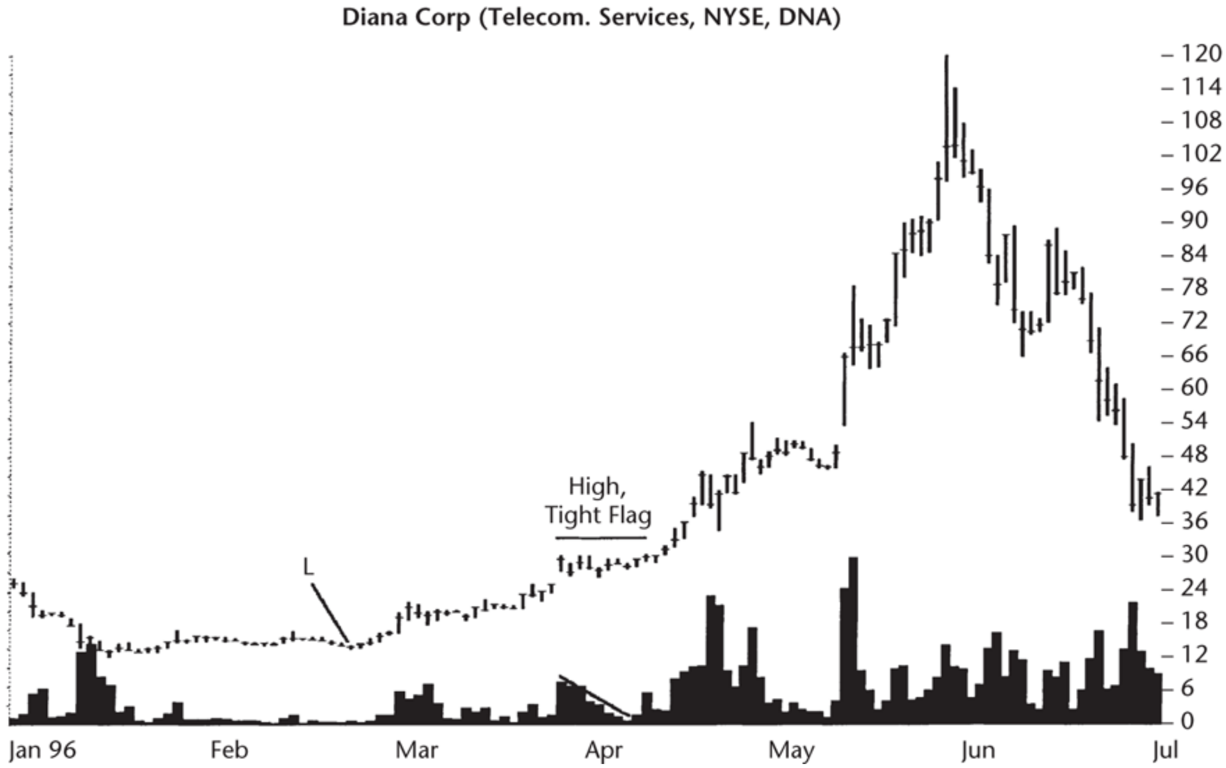

Figure 35.1 A high, tight flag that sees price rise from about 30 to 120 in 2 months.

Identification Guidelines

The phrase, *high, tight flag*, is a misnomer because the pattern usually does not resemble a flag at all. Sometimes price moves up slightly as the flag progresses, such as shown in Figure 35.1, but more often price spikes down briefly (a day or two), then returns and moves downward or horizontally before breaking out and heading up.

William J. O'Neil popularized the pattern in his book, *How to Make Money in Stocks* (McGraw-Hill, 1988). In his introduction to the pattern, he identifies many characteristics that high, tight flags share.

Briefly, O'Neil looked for a doubling of the stock price in less than 2 months, a sideways move of 3 to 5 weeks during creation of the flag, with price drifting down no more than 20% in the flag. The guidelines eliminated many patterns so that fewer than 10% (of the ones I looked at) qualified. I followed none of his guidelines. I prefer to let the pattern tell me how it behaves.